

A Project Report
On
**“ A STUDY ON RURAL BANKING
SCHEME INDIA”**

Submitted to
Shri Shankaracharya Professional University, Bhilai

In partial fulfillment for the award of the degree of
Bachelor of Commerce

Submitted by

MEENAL PATEL

Under the Guidance of
PROF. Dr. Suman Pandey

CERTIFICATE

This is to certify that “MEENAL PATEL” has submitted the project report titled “**A STUDY ON RURAL BANKING SCHEMES IN INDIA**”, towards partial fulfillment of **BACHELOR OF COMMERCE** degree examination. It is further certified that she has ingeniously completed his project as prescribed by Shri Shankaracharya Professional University,Bhilai.

Dr.Suman Pandey
(Project Guide)

Place:Bhilai

Date:

DECLARATION

I hereby declare that the project with the title “ A STUDY ON RURAL BANKING SCHEMES IN INDIA” has been completed by me in partial fulfillment of BACHELOR OF COMMERCE degree examination as prescribed by Shri Shankaracharya Professional University,Bhilai.

MEENAL PATEL

Place:Bhilai

Date:

ACKNOWLEDGEMENT

I sincerely express indebtedness to esteemed and revered guide “Dr.Suman Pandey,for her invaluable guidance,supervision and encouragement throughout the work.Without her kind patronage and guidance,the project would not haven taken shape.

I take this opportunity to express deep sense of gratitude to “Dr. Sanju Singh”,Head of Department of Commerce,for his encouragement and kind approval.We would like to express our sincere regards to him for advice and counselling from time to time.

I owe sincere thanks to all the lectures in “Study on Rural Banking Schemes in India”for their advice and counselling time to time.

--

[illegible]

INTRODUCTION

INTRODUCTION

Rural banking in India started since the establishment of banking sector in India and banking sector in India was set up on April,1935.In those days,rural banks basically focused upon the agriculture sector of India because a great percentage of Indian population is engaged in agricultural activities.Today, commercial banks and Regional rural banks in India are touching every corner of the country are extending a helping hand in the growth process of the rural sector in the country.To give this sector a stronghold on finance and to enable economic independence, rural banks have special offerings that extend credit facilities to small farmers,

agricultural labors and cottage industry entrepreneurs.

Rural banking is the process of conducting banking transactions out in the country where bank branches are too far away to be of use. Rural banking is popular for very small towns and farmers who live far away from areas of larger population and cannot make the drive to these locations whenever they need to use banking services. Typically, an agent of the bank will visit these rural locations and offer to make transactions in an official capacity. To give this sector a stronghold on finance and to enable economic independence, rural banks have special offerings that extend credit facilities to small farmers,

agricultural labors and cottage industry entrepreneurs.

Rural banking is the process of conducting banking transactions out in the country where bank branches are too far away to be of use. Rural banking is popular for very small towns and farmers who live far away from areas of larger population and cannot make the drive to these locations whenever they need to use banking services. Typically, an agent of the bank will visit these rural locations and offer to make transactions in an official capacity.

REGIONAL RURAL BANK

Regional Rural Banks (RRBs) are Indian Scheduled Commercial Banks (Government Banks) operating at regional level in different States of India. They have been created with a view of serving primarily the rural areas of India with basic banking and financial services. However, RRBs may have branches set up for urban operations and their area of operation may include urban areas too.

(RBI Governor, Shri Raghuram Rajan)

“Simplicity and reliability in the financial inclusion in India, though not a cure, but can be a way of liberating the poor from dependence on indifferently delivered public services and from venal politicians. In order to draw in the poor, the products should address their needs – a safe place to save, a reliable way to send and receive money, and a quick way to borrow in times of need and to escape the clutches of Money Lenders” The area of operation of RRBs is limited to the area as notified by Government of India covering one or more districts in the State. RRBs also perform a variety of different functions. RRBs perform various functions in following heads:

- Providing banking facilities to rural and semi-urban areas.**
- Carrying out government operations like disbursement of wages of MGNREGA workers, distribution of pensions etc.**
- Providing Para-Banking facilities like locker facilities, debit and credit cards, mobile banking, internet banking, UPI etc.**
- Small financial banks**

Regional Rural Banks were established under the provisions of an Ordinance History passed on 26 September 1975 and the RRB Act 1976 to provide sufficient banking and credit facility for agriculture and other rural sectors. As a result, Five Regional Rural Banks were set up on 2 October 1975, Gandhi Jayanti. These were set up on the recommendations of The narshimham committee Working Group during the tenure of Indira Gandhi's Government with a view to include rural areas into economic mainstream since that time about 70% of the Indian Population was of Rural Orientation. The development process of RRBs started on 2 October G.S.College of Commerce and Economics,Nagpur 2021-22 Grishmi Karande BBA 3rd Year 1975,Gandhi Jayanti with the forming of the first RRB, the Prathama Bank,Head Office at Moradabad (U.P.) with authorized

capital of Rs 5 crore at its starting. Prathama bank was sponsored by syndicate bank as on 2 October, 1975 Out of the remaining four RRBs in the country one was set up at Malda in West Bengal under the name of Gour Gramin Bank, which was the first RRB in the Eastern Region of India. The Regional Rural Banks were owned by the Central Government, the State Government and the Sponsor Bank (Any commercial bank can sponsor the regional rural banks) who held shares in the ratios as follows Central Government – 50%, State Government – 15% and Sponsor Banks – 35%.

REGIONAL RURAL BANKS(RRBs)



Type: Public

Industry: Banking, financial services

Founded: 2 October 1975 Gandhi Jayanti

**Headquarters: India Number of locations:
21398(as on 2017)**

**Products: Retail banking,corporate
Blanking,investment banking,**

Owner: Government of India(50%), Sponsor Banks(35%), State Governments(15%)

Organizational Structure

The organizational structure for RRB's varies from branch to branch and depends upon the nature and size of business done by the branch. The Head Office of an RRB normally had three to nine departments. The following is the decision making hierarchy of officials in a Regional Rural Bank.

- **Board of Directors**
- **Chairman & Managing Director**
- **General Manager**
- **Assistant General Manager**
- **Regional Manager/Chief Manager**
- **Senior Manager**
- **Manager**
- **Officer**
- **Office Assistant**
- **Office Attendant**

Legal existence and protection

RRB are recognized by the law and they have legal significance. The Regional Rural Banks Act, 1976 Act No. 21 of 1976 [9 February 1976.] "For the incorporation, regulation and winding up of Regional Rural Banks with a view to developing the rural economy by providing, for the purpose of development of agriculture, trade, commerce, industry and other productive activities in the rural areas, credit and other facilities, particularly to the small and marginal farmers, agricultural laborers, artisans and small entrepreneurs, and for matters connected therewith and incidental thereto".

List of Regional Rural banks

Presently there are 45 RRBs in India. On 1 April 2020 the number of banks will be Reduce from 45 to 36

Andhra Pradesh

- Andhra Pragathi Grameena Bank[4]
- Chaitanya Godavari Grameena Bank
- Saptagiri Grameena Bank

Arunachal Pradesh

- Arunachal Pradesh Rural Bank

Assam

- Assam Gramin Vikash Bank

Bihar

- Dakshin Bihar Gramin Bank
- Uttar Bihar Gramin Bank

Chhattisgarh

- Chhattisgarh Rajya Gramin Bank

Gujarat

- Baroda Gujarat Gramin Bank
- Saurashtra Gramin Ban

Haryana

- Sarva Haryana Gramin Bank

Himachal Pradesh

- Himachal Pradesh Gramin Bank

Jammu and Kashmir

- J&K Grameen Bank
- Ellaquai Dehati Bank

Jharkhand

- Jharkhand Rajya Gramin Bank

Karnataka

- Karnataka Gramin Bank
- Karnataka Vikas Grameena Bank

Kerala

- Kerala Gramin Bank

Madhya Pradesh

- Madhyanchal Gramin Bank
- Madhya Pradesh Gramin Bank

Maharashtra

- Maharashtra Gramin Bank
- Vidharbha Konkan Gramin Bank
- Wainganga Krishna Gramin Bank

Manipur

- Manipur Rural Bank

Meghalaya

- Meghalaya Rural Bank

Mizoram

- Mizoram Rural Bank

Nagaland

- Nagaland Rural Bank

Odisha

- Odisha Gramya Bank
- Utkal Grameen Bank

Puducherry

- Pudukkottai Bharathiar Grama Bank

Punjab

- Punjab Gramin Bank

Rajasthan

- Baroda Rajasthan Kshetriya Gramin Bank
- Rajasthan Marudhara Gramin Bank

Tamil Nadu

- Tamil Nadu Grama Bank

Telangana

- Telangana Grameena Bank
- Andhra Pradesh Grameena Vikas Bank

Tripura

- Tripura Gramin Bank

Uttar Pradesh

- Aryavart Bank
- Prathama UP Gramin Bank
- Baroda UP Bank
- Purvanchal Bank
- Baroda UP Gramin Bank
- Kashi Gomti Samyut Gramin Bank

Uttarakhand

- Uttarakhand Gramin Bank

West Bengal

- Bangiya Gramin Vikash Bank
- Paschim Banga Gramin Bank-Sponsor Bank-UCO
- Uttarbanga Kshetriya Gramin Bank

Our focus is squarely on structural change. The reason for this is that there are many evidences which suggest that diversification out of agriculture is associated with increase in productivity and reduction in poverty. In particular, we may infer little about which policies might be effective in expanding the productive opportunities of households. A recent, mainly theoretical, study examines the determinants of diversification. This study points at credit market imperfections as an important reason for why individuals and economies get stuck in low productivity traps. The argument is that imperfect credit markets lead to the credit rationing of the poor. This, in turn, constrains their occupational and production choices. Credit rationing may thus act as a barrier to diversification and underlie poverty traps and persistent inequality. A suggested

policy implication is that policies which provide the poor with access to credit may aid modernization and reduce poverty.

Historically, there have been four major problems with respect to the supply of credit to the Indian countryside.

- First, supply of formal sector credit to the countryside on the whole has been inadequate.
- Secondly, the rural credit markets in India have been very imperfect and fragmented.
- Thirdly, as the foregoing study suggests, the distribution of formal sector credit has been unequal, particularly with special reference to the region and class, caste and gender in countryside. Formal sector credit needs to reach backward areas, lowincome households, people of the oppressed castes and tribes, and women.
- Fourthly, the major source of credit to rural households, particularly low - income working households, have been the informal sector. Informal sector loans typically are advanced at very high rates of interest. Further, certain terms and conditions attached to these loans have given rise to an elaborate structure of coercion – economic and extra-economic – in the countryside.

After 1947, RBI sought to expand rural access to formal credit via the cooperative movement. However, by the mid-1960s it became apparent that increasing the quantum of finance of credit cooperatives by the RBI could not address the central problem. Still the bulk of rural India remains without a source of formal credit. After nationalization in 1969, the Reserve bank of India focused on Rural Banking and took control of the placement of banks as a means of advancing social objectives. During this period more than 50,000 new branches were built primarily in unbanked, rural locations. This represented a seven

fold increase in the proportion of rural locations which were banked. Rural banking institutions are playing a very important role for all-round development of a rural area of the country. In order to support the rural banking sector in recent years, Regional Rural Banks have been set up all over the country with the objective of meeting the credit needs of the most under privileged sections of the society. These Regional Rural Banks (RRBs) have been receiving a high degree of importance and attention in the rural credit system. Considering the gross absence of banking facilities in the rural areas of the country, the Reserve Bank of India in consultation with the Central Government, State Government and some major nationalized sponsored banks had set up some Regional Rural Banks in the late 1970s with a view to elevate the economic status of the rural poor as well as to inculcate a habit of saving among the rural masses. The Rural Banking effects poverty in rural location. Poverty is central issue regarding branch expansion. The increase in branches built in unbanked locations reduces aggregate poverty whereas expanding branches in banked locations does not. There is no reason to think that building bank branches in unbanked rural locations would affect production and distribution relation in the urban sector. This paper would discuss the various schemes introduced by Government for rural development. Our focus, in particular, would be on whether policy driven branch expansion into unbanked locations helps to fulfill the financial needs of rural people or not.

RRBs though operate with a rural focus are primarily scheduled commercial banks with a commercial orientation. Beginning with the seminal contribution of Haslem (1968), the literature probing into factors influencing performance of banks recognises two broad sets of factors, i.e., internal factors and factors external to the bank. The internal determinants originate from the balance sheets and/or profit and loss accounts of the bank concerned and are often termed as micro or bank-specific determinants of profitability. The external determinants are systemic forces that reflect the economic environment which conditions the operation and performance of financial institutions. A number of explanatory variables have been suggested in the literature for both the internal and external determinants. The typical internal determinants employed are variables, such as, size and capital [Akhavain et al. (1997), Demirguc-Kunt and Maksimovic (1998) Short (1979) Haslem (1968), Short (1979), Bourke (1989), Molyneux and Thornton (1992) Bikker and Hu (2002) and Goddard et al. (2004)]. Given the nature of banking business, the need for risk management is of crucial importance for a bank's financial health. Risk management is a reflection of the quality of the assets with a bank and availability of liquidity with it. During periods of uncertainty and economic slow down, banks may prefer a more diversified portfolio to avoid adverse selection and may also raise their liquid holdings in order to reduce risk. In this context, both credit and liquidity risk assume importance. The literature provides mixed evidence on the impact of liquidity on profitability. While Molyneux and Thornton (1992) found a negative and significant relationship between the level of liquidity and profitability, Bourke (1989) in contrast, reports an opposite result. One possible reason for the conflicting findings may be the different elasticity of demand for loans in the samples used in the studies (Guru, Staunton and

Balashanmugam, 2004). Credit risk is found to have a negative impact on profitability (Miller and Noulas, 1997). This result may be explained by taking into account the fact that more the financial institutions are exposed to high-risk loans, the higher is the accumulation of unpaid loans implying that these loan losses have produced lower returns to many commercial banks (Athanasoglou, Brissimis and Delis, 2005). Some of the other internal determinants found in the literature are funds source management and funds use management (Haslam, 1968), capital and liquidity ratios, the credit-deposit ratio and loan loss expenses [Short (1979); Bell and Murphy (1969); Kwast and Rose (1982)]. Expense management, a correlate of efficient management is another very important determinant of bank's profitability. There has been an extensive literature based on the idea that an expenses-related variable should be included in the cost part of a standard microeconomic profit function. In this context, Bourke (1989) and Molyneux and Thornton (1992) find that better-quality management and profitability go hand in hand. As far as the external determinants of bank profitability are concerned the literature distinguishes between control variables that describe the macroeconomic environment, such as inflation, interest rates and cyclical output, and variables that represent market characteristics. The latter refer to market concentration, industry size and ownership status. Among the external determinants which are empirically modeled are regulation [Jordan (1972); Edwards (1977); Tucillo (1973)], bank size and economies of scale [Benston, Hanweck and Humphrey (1982); Short (1979)], competition [Phillips (1964); Tschoegl (1982)], concentration [Rhoades (1977); Schuster (1984)], growth in market [Short (1979)], interest rates as a proxy for capital scarcity and government ownership (Short, 1979). The most frequently used macroeconomic control variables are the inflation rate, the long-term interest rate and/or the growth

rate of money supply. Revell (1979) introduced the issue of the relationship between bank profitability and inflation. He notes that the effect of inflation on bank profitability depends on whether banks' wages and other operating expenses increase at a faster pace than inflation. Perry (1992) in a similar vein contends that the extent to which inflation affects bank profitability depends on whether inflation expectations are fully anticipated. The influence arising from ownership status of a bank on its profitability is another much debated and frequently visited issue in the literature. The proposition that privately owned institutions are more profitable, however, has mixed empirical evidence in favour of it. For instance, while Short (1979) provides crosscountry evidence of a strong negative relationship between government ownership and bank profitability, Barth et al. (2004) claim that government ownership of banks is indeed negatively correlated with bank efficiency. Furthermore, Bourke (1989) and Molyneux and Thornton (1992) find ownership status is irrelevant in explaining profitability. While many of the above factors would be relevant, it would be instructive to scan the literature that has exclusively focussed on the RRBs.

LITERATURE REVIEW

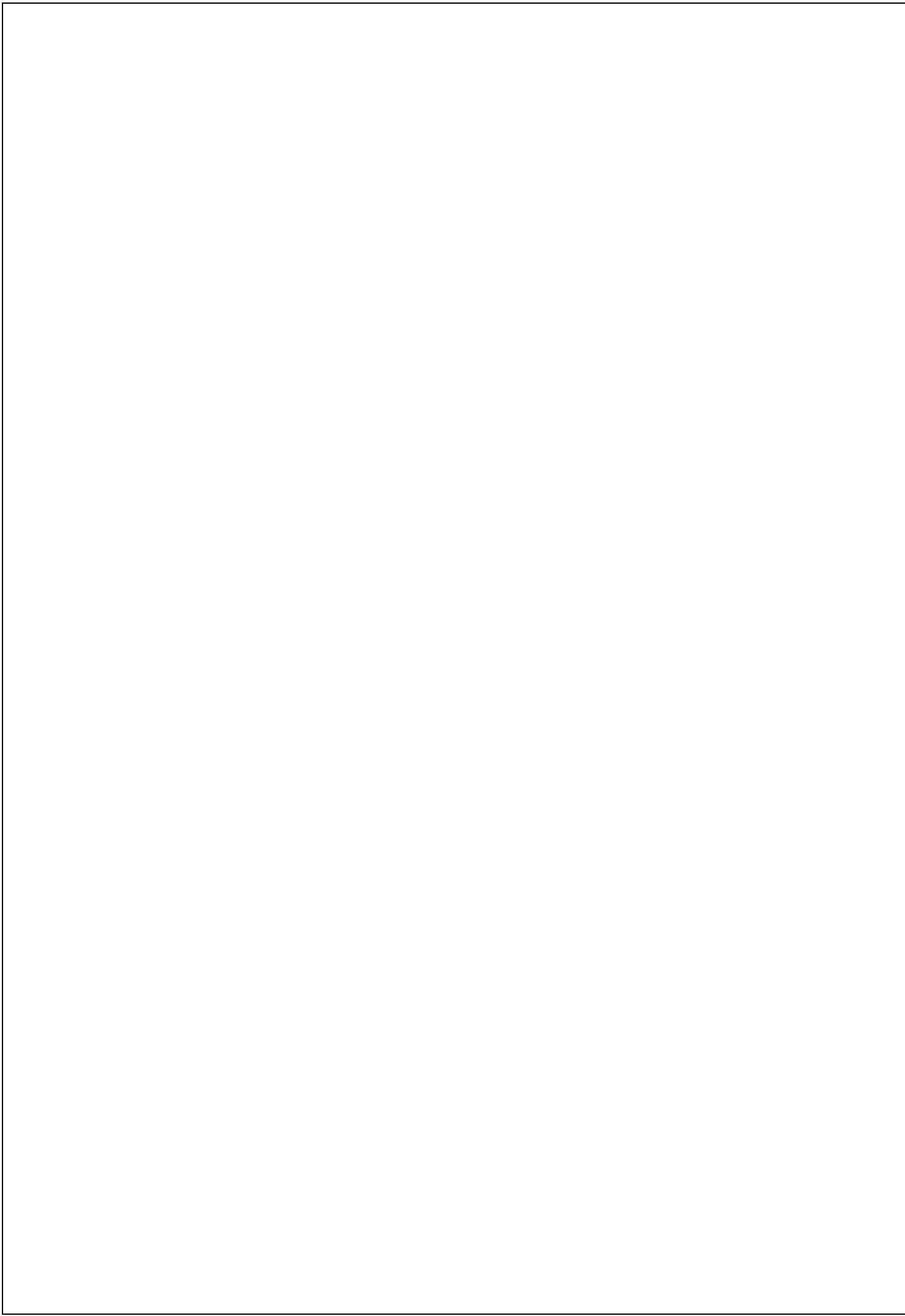
REVIEW OF LITERATURE

Review of literature is very important to give better understanding and insight necessary to develop a broad conceptual framework in which a particular problem can be examined. It helps in the formation of specific problem and helps acquaint the investigator to what is already known in relation to the problem under review and it also provides a basis for assessing the feasibility of the research. Review of literature is important to a scholar in order to know what has been established and documented as there are critical summaries of what is already known about a particular topic. Therefore a review of literature helps in relating the present study to the previous ones in the same field.

The review of some of the literature related to the performance of government schemes is shown below:-

There have been many studies on the impact of the Jan Dhan scheme since it was launched. As would be in many government initiated schemes of this magnitude, most of the researchers have identified the achievements as also the failures of the scheme. The report of the committee on financial inclusion in India [2008] defines financial inclusion as the process of ensuring access to financial services and timely and adequate credit where needed by vulnerable groups such as weaker sections and low income group, at an affordable cost.

PMJDY is designed with six pillars so as to provide beneficiaries with:



[Kumar and Soni, 2013]

matters connected Regional rural banks play a significant role in the agriculture and rural development of India through their vast network. The success of rural credit in Indian state through RRBs are the key financing establishment at the rural level that shoulders the responsibility of meeting agricultural credit needs. RRBs face the issues of overdue, recovery, non-performing assets and other issues. To resolve these issues the govt. of India promoted Regional Rural Banks[RRBs] through RRBs act of 1976 to bridge the gap in the flow of credit to the rural poor. The paper finished that the RRBs were established to develop the rural economy by providing for the purpose of development of agriculture, trade, commerce, credit and alternative facilities, particularly to small and marginal farmers, agricultural labourers several entrepreneurs.

[Parmar and Ranpura, 2013]

Internet banking in rural areas and its application for many rural consumers in rural areas. The research objectives was to analyze the opportunity of using net banking within the new generation of rural areas that entered on some of the rising trends in rural banking. The research concluded that facility provided by the banks like Term loans, online FD, demand draft facilities etc. are not getting used as much as they were expected to and it was found that the expectations of consumers towards net banking are, it should be time saving and convenient to use, should be user friendly and best in security and therefore the main reason for using net banking facilities would be to have a traditional account within the same bank that would provide excellent net services.

B .Chandra Mohan Patnaik (KIIT University) October 2017

The research paper is an attempt to understand the various initiatives taken by the government for rural banking sector in India. In this regard secondary data is being considered. The main objective of the paper to understand the existing government readiness towards cash less society. Though is a conceptual paper and it will give a direction for undertaking the empirical study on digital transactions and will be added contribution to the existing literature

THE ROLE OF REGIONAL RURAL BANKS FOR RURAL DEVELOPMENT IN INDIA

Mrs. N. Santhi, Dr. T. R. Ganesan (March 2015)

The RRBs were established “with a view to developing the rural economy by providing, for the purpose of development of agriculture, trade, commerce, industry and other productive activities in the rural areas, credit and other facilities, particularly to small and marginal farmers, agricultural laborers’, artisans and small entrepreneurs, and for therewith and incidental thereto” . The institution of Regional Rural Banks (RRBs) was created to meet the excess demand for institutional credit in the rural areas, particularly among the economically and socially marginalized sections. In order to provide access to low–cost banking facilities to the poor, the Narasimham Working Group (1975) proposed the establishment of a new set of banks, as institutions which "combine the local feel and the familiarity with rural problems which the cooperatives possess and the degree of business organization, ability to mobilize deposits, access to central money markets and modernized outlook which the commercial banks have". The multi–agency approach to rural credit was also to sub serve the needs of the input–intensive agricultural strategy (Green Revolution) which had initially focused on ‘betting on the strong’ but by the midseventies was ready to spread more widely through the Indian countryside. In addition, the potential and the need for diversification of economic activities in the rural areas had begun to be recognized, and this was a sector where the RRBs could play a meaningful role. In this paper we are going to discuss on the role of regional rural banks and their responsibilities towards rural development.

Harish Tigari & M G Gaganadeepa, From Department of Commerce, Davangere University, Shivagangotri, Karnataka, India The rural banking is one of the important roles in rural development of our country, and the village economy is the backbone of the Indian economy. Without the development of the rural economy, the objective of economic planning cannot be achieved. Hence the Regional rural banks (RRBs) are plays a vital role in the

rural development for the economy in India. The RRBs were established on October 2, 1975, with the main objective of a provisional credit for rural people who are not economically strong enough, especially the small farmers, artisans, agricultural laborers, and even small entrepreneurs. The present study is a modest attempt to rural credit structure and the role played by RRBs in the development of rural economy. The present research paper is designed in nature and makes use of secondary data. The relevant secondary data have been collected mainly through the articles, journals, books, and websites have been referred. This paper is to examine the rural credit structure in RRBs of Pragathi Krishna Gramin Bank. And this study is focused only on the specific area like loans and advances made by the RRBs for three years period of 2015-16 to the year 2017-18.

Role of Regional Rural Banks (RRBS) and National Bank of Agriculture and Rural Development (NABARD) in Rural Development in India

M. Prabakaran (April - 2014)

Gandhiji said, “Real India lives in villages” and village economy is the backbone of Indian economy. The Government of India is developing rural areas through Five years Plans but it is not achieved target of enhancing rural development. The Regional Rural Banks (RRBs) were established in October 02, 1975 for economic development in the rural India and to provide credit to the rural people by the Government of India. National Bank of Agriculture and Rural Development (NABARD) was set up in July 1982 as apex institution to provide refinance facilities to rural financial institutions. This article explains the role of RRBs and NABARD in developing rural area in India and to analyze the achievement and overall performance of RRBs and NABARD

GOVERNMENT SCHEMES

GOVERNMENT SCHEME

The Concept of priority sector lending with all its new dimensions has come to be recognized as “Social Banking”. Under Social Banking emphasis is on mass lending and the credit policy is consciously reoriented to meet the increasing needs and aspirations of the poor and down trodden in order to raise their standard of living. Main objective here is to make sure that more credit flows towards agricultural, small transport operators, retail trade, cottage, village & tiny industries, small scale industries etc. Agriculture being the back bone of Indian economy, Government has sponsored many schemes in rural areas for upliftment and betterment of rural people under rural banking. As per all Government schemes finance is provided by government banks. These schemes are as follows:-

- **Swaranjayanti Gram Swarozgar Yojana(SGRY)**
- **Prime Minister Rozgar Yojana(PMRY)**
- **Pradhan Mantri Jan Dhan Yojana(PMJDY)**
- **National Bank for Agriculture and Rural Development(NABARD)**
- **Kisan Credit Card(KCC)**



GOVERNMENT SCHEMES

Swaranjayanti Gram Swarozgar Yojana (SGRY)

Swarnajayanti Gram Swarozgar Yojana is a scheme under which BPL families are formed as self-help groups and funded through bank loans and government funds. The main function of these groups is to help all such families cross the poverty line. Since the first of April 1999, the Indian government has actively been involved in helping the poorer citizens of the country in rural areas to create and maintain sustainable sources of income using their own skill, talents, and abilities.

The basic aim of the scheme is to provide a sustainable self-employment to the villages who are still unable to secure the financial position of individuals. It also ensures poor families who are living below poverty line to identify and encourage them to initiate a self-help group

Swarna Jayanti Gram Swarojgar Yojana

FINCA IN



with the support provided by the government subsidy and credit provides by the banking sector. Scheme direct to increase the poor individuals or family to focus on finding the financial income sources based on their skills

.The government has managed this gargantuan task through the launch and operation of the Swarnajayanti Gram Swarozgar Yojana (SGSY) scheme, which targets economically weaker sections of the society and helps them organize and establish Self-Help Groups. These microenterprises are funded by the government, NGOs, individual philanthropists, CBOs, banks, and other sources of finance.

The scheme establishes Activity Groups, grouping together workers based on their individual skills and talents. Under the SGSY scheme, funding for these Self-Help Assemblies and activity Groups is routed through NGOs, banks, and monetary organizations with social outreach programs. Between 1999 and 2015, over 2.25 million Activity Groups and SelfHelp teams have been created, and operate with a total capital of over Rs.14,000 crores, providing a sustainable source of income to over 6.5 million people.

How it works

Under the scheme, poorer families that were below the Poverty Line were organized into Self-Help groups, which were funded through a mix of government funds and small loans from banks. The primary function of the Self-Help groups was to help these families cross the Poverty Line, and generate a sustainable source of profits through a joint effort. After the families were able to help themselves out of the scarcity line, the Self-Help groups were organized in such a way that every member of the group could contribute to the achievement of a common objective. Groups were organized on the basis of common skills, the skill level of the members, and the amount of time and work they could contribute.

Important Groups

1. Group Creation: This involves process like enquiring and judging skills, selecting individuals and assigning people to groups based on the skill level of each member.

2. Capital Creation: A rotating fund system is adopted for capital generation, and skills are allowed to develop through experience.

3. Implementation: Abilities and group skills are created and developed further as the process functions at the group's chosen speed, limited usually only by level of skill.

Self-Help Groups are formed after a process of selection. The BPL (Below Poverty Line) Index / Inventory is acquired from the Gram Sabha and used by the organization to choose appropriate members based on its own criteria. The groups are then assimilated into blocks focussing on the group's primary output capabilities, and allowed to work with funding from banks, individual philanthropists, Panchayati Raj organizations, and the like. Regular festivals and melas are organised by the government, in an effort to help the Self-Help Groups sell their output / goods to a larger audience and create a market in the process.

Schemes Replaced

The scheme effectively replaces for the following other schemes:

- Integrated Rural Development Program (IRDP)
- Training of Rural Youth for Self-Employment (TRYSEM)
- Development of Women and Children in Rural Areas (DWCRA)
- Supply of Improved Toolkits to Rural Artisans (SITRA)
- Ganga Kalyan Yojana (GKY)
- Million Wells Scheme (MWS)

Objective

The scheme is established with the intent of bringing the assisted low-income families (also referred to as swarozgaris) above the poverty line by providing them with an appreciable sustained income over a period of time. This shall be fulfilled by organizing the rural poor into Self-Help Groups (SHGs) through the process of social mobilization, training, capacity building and provision of income generating assets.

The scheme envisages the development of activity clusters with an emphasis on key activities identified in the block, both for the group as well as for individual assistance. These activity clusters will be in geographic clusters of neighbouring villages within a reasonable radius.

Self-Help Groups

The Self-Help Groups (SHGs) will be organized by 'Swarozgaris' drawn from the BPL list approved by the Gram Sabha. The scheme facilitates the formation of Self-Help Groups (SHGs), who will be assisted on a loan-cum-subsidy basis for undertaking income-generating activities. The scheme regulations state that half of the groups formed at the block level should be exclusively women groups.

Coverage of the Scheme

The scheme caters to the rural communities such as those with land, landless labour, educated unemployed, rural artisans and the disabled. The assisted low-income families could be either individuals or groups and would be selected from Below Poverty Line (BPL) families by a three-member team comprising of a Block Development Officer (BDO), banker and sarpanch. The scheme specifically focuses on the vulnerable sections of the rural poor. The SC/ST would gain the bulk of assistance (50%), while a proportion of the remaining funds would be earmarked for women and the disabled. The scheme is aimed at the development of Swarozgaris through training courses that are designed in accordance with the activities selected and the requirements of each swarozgari.

Roadmap

The initiative focusses on establishing a large number of micro-enterprises in rural areas based on the potential of such areas (land-based or otherwise). Due consideration is accorded to different components such as capacity building of the poor, skill development training, credit, training, technology transfer, marketing and infrastructure.

The scheme entails the following processes:

- Group Creation – This stage covers the assessment of the skill level of the members
- . • Capital Creation – This involves the use of a rotating fund system. Here, the members are facilitated to hone their skills through experience
- . • Implementation – the final stage deals with the identification and nurturing of abilities and group skills. The implementation is processed according to the pace desired by the respective groups.

Sealing of Subsidies

The subsidy allocation for the scheme is as follows:

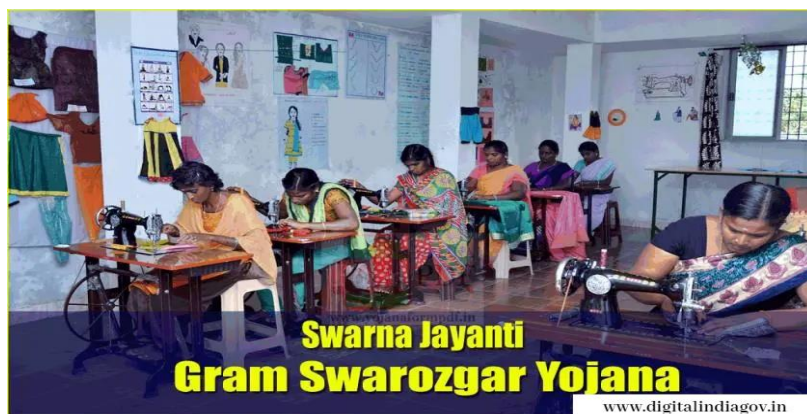
- A uniform subsidy of 30% of the total project cost is allowed under the scheme, subject to a ceiling of Rs. 7,500.
- A subsidy of 50% of the total project cost, subject to a ceiling of Rs. 10,000 is extended to SC/STs and disabled persons.
- A subsidy of 50% of the total project cost, subject to a ceiling of Rs. 1.25 lakh or per capita subsidy of Rs. 10,000 (whichever is less) is provided to Self-Help Groups (SHGs) and individual swarozgaris.
- No monetary limits on subsidy have been specified for irrigation projects.
- Subsidy under these provisions is back-ended. The banks are prohibited from charging interest on the subsidy portion of the loan amount.
- As already stated, special emphasis will be laid on vulnerable groups among the rural poor

Funding and Training

The maintenance, education, and funding for these groups comes from NGOs, philanthropists, CBOs, banks, organizations promoting self-aid, and District Land Development Agencies (DRDAs) that are owned by the government. Some of the institutions that offer funding mentioned above also offer training and education facilities to group members, and organize their own teams based on the training required for a particular Self-Help Group's specific skill.

Salient features of the schemes:

1. Identifying the eligible beneficiaries with involvement of Gram / Local authorities in a transparent manner.
2. Providing freedom to Branch Managers for satisfying themselves about the beneficiaries and activity proposed to be financed.
3. Lending to individuals or group (SHGs) and selecting beneficiaries from BPL families by a team of three members (Bankers, Development Officer, Sarpanch)
4. Provision for training (Basic orientation and skill development) in the scheme. The Basic orientation programme is mandatory. Skill development training has to necessarily be undergone by the Swarozgaries wherever needed as assessed by Technical Line Department and Financing Bank
5. Individuals or groups below poverty line whose income does not exceed 11,500/- sponsored by DRDA reserve quota for SC / ST – 50% , Women- 40% & Disabled 3%
6. Security norms for individual loans up to Rs. 50000/- and group loans till Rs. 3 lakhs are assets created out of bank loan which would be hypothecated to the bank as a primary security. For loans in excess of the above units, in addition to primary security collateral security in the form of third party guarantee, assignment of LIC policies, marketable securities or deeds of other property etc. might be obtained
7. Subsidy will be at 30% of project, subject to a maximum Rs. 7500/- . In respect of SC / ST it will be 50% of the project subject to maximum of Rs. 10000/- . For SHGs the subsidy will be 50% of the cost of the project, subject to a ceiling of Rs. 1.25 lakhs. There will be no monetary limit on subsidy for irrigation projects



Prime Minister Rozgar Yojana (PMRY)

The unemployed youth in our country have tremendous potential. Given the right opportunity they can contribute towards economic development of the nation. The Prime Minister Rozgar Yojana (PMRY) implemented since 2nd October 1993, aims at providing sustained employment to educated unemployed youth.

PMRY (Prime Minister's Rozgar Yojana) is initiated by Central Government of India to provide sustainable self-employment opportunities to ten lakh educated unemployed youth and women in India. Initiated this cause during the eighth plan period. The scheme offers financial assistance in starting one's own enterprise in trade, manufacturing, and services sectors.



PMRY aims in setting up of 7 lakh micro enterprises through inducting service and business Venture over a period of 2 years 6 months. Small Scale Industries (SSI) uses its vision to utilize local resources, technologies for productive purposes and exploit the local market at micro level.

PMRY – Eligibility

Age:	For all educated unemployed people between 18-35 years
Educational Qualification:	8th standard – Passed
Interest Rate:	Normal interest rate shall be charged
Repayment Schedule:	Between 3 to 7 years after an initial moratorium
Family Income:	Income of beneficiary along with spouse nor the income of parents shall exceeds Rs.40000/month
Residence:	Permanent resident of the area for at least 3 years
Defaulter:	Should not be a defaulter to any nationalized financial Institution /bank/cooperative bank
Subsidy and Margin money:	Subsidy will be limited to 15% of the project cost subject to ceiling of Rs. 7,500 per borrower
Collateral:	No collateral for project up to Rs.1 lakh
Reservation:	Weaker sections (SCs/STs), including women



How to apply for PMRY Loan?

Step 1: Visit the official website of Prime Minister's Rozgar Yojana.

Step 2: Download the application form and fill it with complete details.

Step 3: Submit the duly filled form to the respective bank those which come under PMRY scheme and then the concerned bank will get in touch with you

Feature	Description
Implementation	This scheme is implemented at the state level with the help of banks, Directories of Industries and District Industry Centres.

Collateral	Prime Minister Yojana offers the eligible candidate a loan of maximum Rs.1 lakh without any collateral.
Tenor	Beneficiaries can avail an extended PMRY loan repayment tenor ranging from 3 years to 7 years.
Traning facility	Borrowers are also entitled to receive 15-20 days of training under this scheme. The training is mostly aimed at educating about the basics of setting up a business and making sound investments.
Susidy	Prime Minister Rozgar Yojana Scheme also extends subsidy to qualified individuals. They can receive 16% of the project in question's cost as a subsidy. However, the upper limit for the project cost is set at Rs.12500 per individual.
EMI	Beneficiaries have the option to receive a PMRY loan in the form of EMIs. They can also choose to repay the sanctioned loan in monthly instalments.